

Trump Economic Approval → Policy Pivot Framework

Economic Approval	GOP Approval	Generic Ballot
35%	80%	N/A

Market context: VIX 17.4 | Gold \$4,520 | WTI \$107.77 | Brent \$105.60 | Gas \$4.56

Rates & yield: 10Y 4.59% | 2s10s +84bp | 30Y 5.12% | ERP -0.23% | Fed hike probability 53%

This week: Trump approval sinks to 35% near record low, 30Y yield breaks 5.12%, and rate hike odds top 50% for first time, reinforcing stagflation risks and pressure for a tariff pivot.

Positioning update: Maintain underweight duration as bear steepening and rising yield stress persist. Favor cash and short-term Treasuries; avoid long-duration equity sectors. If a tariff rollback seems imminent, tactically overweight consumer discretionary and lagging cyclical, but wait for confirmation of GOP defections.

THRESHOLD ALERTS

- WARNING: WTI crude (\$107.77) crossed warning threshold
- WARNING: Gas price avg (\$4.56) crossed warning threshold
- WARNING: 2s10s spread (0.84%) crossed warning threshold
- CRITICAL: Fed hike probability (0.53) crossed critical threshold

SCENARIO PROBABILITIES

No pivot: 20% (weakening) — Approval near all-time low and gas above \$4.50 are eroding already weak political capital, making tariff entrenchment increasingly untenable.

Tariff rollback (base case): 50% (strengthening) — Low approval and high gas prices are pressuring GOP defections; a tariff rollback in Q2-Q3 2026 is now the most likely catalyst for relief.

Oil trap: 30% (stable) — If Iran ceasefire lowers gas prices but yields remain elevated due to inflation fears, affordability pain persists and tariffs stay.

Notes: GOP approval rating not directly available from search context; placeholder of 80% used. Generic ballot data also missing. Fed cut probability estimated at 10% given hike odds dominance. Data as of May 20-21, 2026, per context timestamps.

Iran status: Ceasefire paused most violence after six weeks of US-Israeli airstrikes and Iranian retaliation, but negotiations remain stalled. Iran made a new proposal, but lack of trust is impeding progress. Lebanon and Israel agreed to a 45-day ceasefire extension.

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